

Article | 25 August 2026

GERMANY

Germany's hot political autumn

The weather is cooling in Germany, but politics is heating up. Three state elections in a fortnight now decide how much authority the Merz government has left



Alice Weidel and Tino Chrupalla, co-chairpersons of Germany's far-right Alternative for Germany (AfD) party

It is Germany's super election year, and that is without a federal election. Two state elections at the start of the year, three more this autumn. State elections hit federal policymaking twice over: directly through the Bundesrat, which reviews every law parliament passes and can veto those touching state powers, and indirectly through the mood they set inside the parties and inside the governing coalition. A regional election is always that rare hybrid – a vote on local matters and local politicians, and a running poll on the popularity of the federal government.

Germany's election year got off to a relatively quiet start, but is about to end with a bang. In March, the Greens held Baden-Württemberg by some 27,000 votes over a CDU that gained almost six points and then lost the top spot in the final days of the campaign, and the CDU took Rhineland-Palatinate after 35 years of Social Democratic rule. The CDU escaped with bruises. Its junior partner in the federal government, the SPD, continued the downward trend of recent years.

Now three state parliaments are up within a fortnight: Saxony-Anhalt on 6 September, then Mecklenburg-Vorpommern and Berlin together on 20 September. Roughly 5.4 million people

are entitled to vote across the three, about 8% of the German electorate – and yet the outcome will set the political weather in Berlin for the remaining three years of this legislature, or could even end the coalition before the legislature officially does. In two of the three, the AfD leads. In the third, Die Linke does. In none of the three does the incumbent coalition still have a majority.

The timing is unkind. Friedrich Merz is one of the least popular chancellors ever; his party stands at some 21% in national polls, the SPD at 12, the AfD at 29. Government and country are struggling to agree on the far-reaching reforms needed to pull the economy out of a stagnation that has lasted far too long, regain competitiveness and confront structural challenges from demographic change to China's shifting role in the global economy. CDU and SPD agreed a reform package just before the summer, but not everyone in the parties supports it and implementation is cumbersome. The AfD, meanwhile, benefits from the government's inability – and at times unwillingness – to push reforms through quickly, and from the plain fact that reforms come at a cost.

What the polls are telling us

The election that probably matters most for the bigger picture is **Saxony-Anhalt** on 6 September. Not because of its size – 2.2 million people, four Bundesrat votes, the eleventh-largest state – but because the AfD is polling above 42% and could, for the first time in the Federal Republic's history, supply a state premier. If it wins an absolute majority, the case is clean-cut. If it comes first without one, uncertainty increases rather than falls: every other party would have to squeeze into a single coalition, or one of them would become kingmaker as the AfD's junior partner.

The incumbent CDU has no comfortable way out. Sven Schulze took the premiership only in January, succeeding Reiner Haseloff after 15 years, and his CDU-SPD-FDP coalition has since shed roughly a quarter of its support. On current polling, exactly one majority exists that excludes the AfD: CDU plus Die Linke plus SPD, with about one seat to spare. One seat, for five years, with a partner the CDU's own federal resolution forbids it to govern with.

Mecklenburg-Vorpommern offers a slightly different example. The AfD leads at 36% with Leif-Erik Holm, but Manuela Schwesig's SPD is at 29% – an extraordinary number for a party polling around 12% nationally. Asked directly who should be premier, voters back Schwesig over Holm by 47 to 27. Just 12% want a CDU-led government at all.

Schwesig's coalition with Die Linke would nonetheless lose its majority. The likely repair is an SPD-Linke-CDU arrangement, which would put the CDU into government as the fourth-placed junior partner of a red-red coalition. Note the shape of that: to keep the AfD out, the CDU may end up governing with Die Linke in two states on the same fortnight.

Berlin is a different animal: 2.4 million voters, four Bundesrat votes, and an AfD that at 17% is

nearly double its 2023 result but nowhere near winning. The drama here is fragmentation: Die Linke, CDU, AfD, Greens and SPD are currently inside six percentage points, and every plausible majority needs three of them.

The CDU has fallen roughly nine points from its 2023 high, and Kai Wegner – the first conservative mayor of Berlin since 2001 – withdrew his candidacy in July after months of criticism over his handling of the January blackout, staying on only until a successor government is formed. Finance Senator Stefan Evers inherited the candidacy and the acting party chairmanship with 10 weeks to run. Die Linke, campaigning hard on rents and expropriation with Elif Eralp, currently leads.

The AfD's grab bag of economic policies

Underneath these three horse races sits a broader story, and one that markets and the business community should be paying more attention to than they are: the rise of the AfD to Germany's largest political party, at least according to the polls.

On economic policy, the AfD remains a grab bag, or a surprise bag. What it actually wants is unclear; contradictions are not rare and very little has been committed to paper. The 2025 federal manifesto, adopted unanimously ahead of the federal election and still the binding party programme, contains an entire chapter demanding Germany's exit from the euro, a return to a national currency, gold repatriation and Target-2 "monetarisation". It also called for higher pensions. The ZEW scored it as having the largest financing gap of any party's programme.

Earlier this year, the AfD's parliamentary group published a position paper on economic policy. Measured against the 2025 manifesto, the deletions are the headline. The entire monetary-sovereignty complex – euro exit, D-Mark, gold, Target-2, Bitcoin – the party's founding DNA from 2013, is absent without a trace. Russia policy is laundered into supply-chain language. What remains is dressed as poisoned fruit for the CDU: the paper builds its tax reform on Paul Kirchhof's proposals – the flat-tax architecture Angela Merkel brought into the 2005 campaign, and which the SPD then turned into the "professor from Heidelberg" caricature that nearly cost Merkel the chancellery – and defends the constitutional debt brake as sacrosanct. The AfD is handing the CDU back a weapon that once blew up in its hands.

Where the party does put numbers on paper, the numbers have now been checked. On 5 August, a month before polling day, the Halle Institute for Economic Research costed the AfD's Saxony-Anhalt programme. Of 136 cost-effective measures, 28 can be quantified by official sources, at roughly €1.6bn a year; add the €877m of already-planned borrowing the party's no-new-debt pledge would have to replace, and the annual financing need is about €2.5bn. Against that stand €243m of provable savings, on assumptions deliberately generous to the AfD. Less than ten cents of every promised euro is covered. The residual gap of at least €2.2bn equals roughly a quarter of the state's entire tax revenue – and it is a floor, since 108 of the

136 measures could not be costed at all. However, here is the uncomfortable part for anyone who believes costs win arguments. The study landed on 5 August. The AfD's polling has risen since.

And then there is the small matter of what the party leader says when the cameras are on. In the ZDF Sommerinterview on Sunday, filmed in Vienna where she was meeting the FPÖ, Alice Weidel walked through the entire case against the single currency: an unstable soft currency, a machine for redistribution, a country that was doing distinctly better before it. What she did not do was say plainly that an AfD government would take Germany out of the eurozone. The argument was made in full; the commitment was left hanging. On Schengen she was blunter: the treaty would be cancelled. Which tells you something about where the party thinks its caution still pays. Even leaving the financing question aside, it remains completely unclear what kind of economic policy a state – or the country – would get with the AfD in government.

Why the three state elections matter for national politics

The direct impact on the German economy from the September elections will be very limited. At best, new state governments could undermine support for the federal reform package and slow implementation, or eventually derail it. The indirect impact could be much larger. Beyond the symbolic effect one or several AfD wins would have on foreign investor sentiment, there are potential reactions inside the parties themselves that could slow reform further and eventually bring down the federal government. Three triggers are worth watching.

One: the cordon sanitaire becomes expensive. Chancellor and CDU leader Friedrich Merz has held the line against cooperation with the AfD. September's arithmetic sends the bill. If the only non-AfD majorities in Saxony-Anhalt and Mecklenburg-Vorpommern are coalitions in which the CDU governs alongside Die Linke, an ugly internal debate follows about which taboo is load-bearing: the firewall against the AfD, or the party resolution ruling out coalitions with the Left.

Two: leadership risk becomes live. Merz remains the least popular chancellor on record. His U-turn on the debt brake and fiscal stimulus, the gap between words and action, the slow and cumbersome reform effort and some clumsy personnel management have all drawn criticism from within his own party. Over the summer there were already rumours of an attempt to replace him after the September elections. Easier said than done – but the mere existence of the debate signals unrest, and unrest can grow.

Three: the SPD's slowly growing existential crisis. There is a real risk the SPD misses the 5% threshold in Saxony-Anhalt and drops out of the state parliament altogether – unprecedented, and deeply unsettling for a party leadership already short of good news. The weaker the SPD's support, the likelier an internal fight over course: press on with the government's reform agenda, or unwind much of it and take a more French approach to economic reform.

For the economy, nothing will change in September. What the elections could change is the price of everything the government still wants to do. And how much time it will have left to do it.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

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Article | 2 September 2026

RATES SPARK

Rates Spark: So how bad could this whole thing get?

We took a bit of a breather on bond markets through Wednesday. But here's a question – how bad could things get for the back end? We map out some causes and effects, and draw some historical parallels. We don't call for it, but the height of the dot.com boom saw the US 10yr real yield hit 4%. And the 10yr nominal yield? 6%



We see the US 10yr yield approaching 5%

The drivers of higher long tenor yields

There are two key drivers of long-dated bond yields – inflation and the fiscal deficit. The former impacts the real return attainable from bonds, while the latter helps determine the supply of bonds. Arguably, nothing else should matter, and if they do, it's only to the extent that they ultimately impact inflation and the supply of bonds. Fundamentally, the recent rise in long bond yields relates back to these.

[We've long argued that 4.5% is 'normal' for the US 10yr yield.](#) And for the eurozone, that translates to 3% for the 10yr. We're now running at some 30bp above these normal valuations. That 30bp can in part be explained by the aforementioned factors.

At the same time, the dominance of higher real yields as the driver of nominal yields in the

past six months suggests that the pressure being felt in long rates is not necessarily inflation dominated. Higher real yields reflect issuance pressure (current and anticipated). But it also likely incorporates a positive productivity growth slant coming from the AI revolution. Fed Chair Warsh specifically referenced a positive secular growth dynamic up for discussion at the opening of the G20 summit in North Carolina. That gels with higher real rates, and fits with the upward pressure being seen on long-end yields.

A notable story too is the Japanese 30yr yield, which has touched 4.2%. That's four times the policy rate (currently 1%). There is clearly a tension between these two. The genesis of that is the evolution of a normalised inflation dynamic. The Bank of Japan (BoJ) has undershot versus this, so the long end has had to overreact. But the root cause here is a slow BoJ.

US fiscal pressure, together with a changing (US) political dynamic, has injected an increased defence need for European governments, in turn adding to fiscal spending requirements in the future. And various energy shocks have added to European inflation pressure. That, together with a far more troubling contemporaneous inflation dynamic, is forcing eurozone yields to the upside.

On the back end, there is also a relative value re-pricing required so that eurozone long-end rates sit appropriately versus alternatives. For example, in March this year, the 30yr Japanese yield moved above the 30yr German yield, and that spread has since widened to the 40bp area. That's a simultaneous relative value pressure.

Our base case, and painting some extremes

A key area to watch is 5% on the US 10yr yield. Breaks above that would likely be resisted by the US Treasury. If the 10yr yield does break above, note that 5% is not particularly high, and we already hit that level back in 2023. At '5%', we're 50bp above neutrality. But we arguably should be there, given where inflation (3+%) and the fiscal deficit (6+% of GDP) are printing.

We will in all probability test 5% for the US 10yr (now 4.8%). That equates to just under 3.5% for 10yr Euribor (now 3.3%). The US 30yr would be slipperier than the US 10yr, likely approaching 5.5% (now 5.25%). That's well above the 2023 high at 5.1%. Getting to 5.5% pulls the Euribor 30yr to an extremity of 3.6% (now 3.4%). The base case view is that we climb back down from there.

The risk case is we may have to endure an overshoot before things structurally calm, as the current upside pressure on real rates remains intense. And, the fiscal picture is particularly worrying. Note that in 2000, the 10yr real yield hit 4% (now 2.5%). That was at the peak of the dot.com boom. The 10yr Treasury yield hit 6%. The 10yr German yield was at 5%, but was at the tail end of a decade post reunification.

For an extreme ahead? We don't call for it, but 6% is not an implausible absolute extreme for the US 30yr. For the eurozone back end, the big figure 4% would mark an equivalent extreme. Hard to see moves above these levels. Sustained breaks above that would risk crisis reactions, which would ultimately prove self-correcting.

Author

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

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CZECH REPUBLIC

Czech 2027 draft budget: Higher deficit pressures bonds, raises rate hike risk

The Czech 2027 draft budget widens the deficit to 3.5% of GDP and lifts borrowing needs to a record high. Higher issuance weighs on CZGBs, although some prefunding is likely this year. Faster public sector wage growth and looser fiscal policy also raise the risk of a CNB rate hike from November



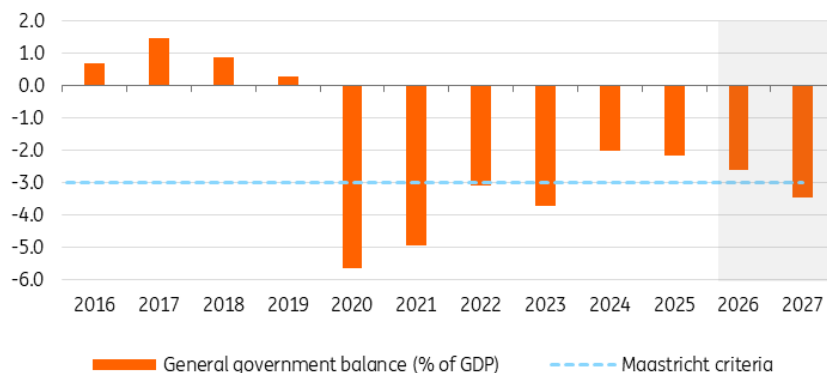
The Czech 2027 draft budget widens the deficit to 3.5% of GDP, pushes borrowing needs to a record high, weighs on CZGBs and raises the risk of a CNB rate hike from November

MinFin proposes the highest deficit since 2023

The Ministry of Finance has proposed a 2027 state budget deficit of CZK389bn, implying a general government deficit of 3.5% of GDP, an increase from this year's 2.6% and the highest since 2023. The draft remains subject to government approval by end-September and subsequent approval by the lower house of parliament. Both junior coalition parties are pressing for a smaller shortfall, so some revisions are possible, although we do not expect material changes. The ministry lists healthcare, defence, higher living standards and "above-average" economic growth as priorities. The biggest spending increases are earmarked for defence and investment in industry and transport. But at the same time, public sector wages are set to rise by 5-9%, with details due in September.

After the election, the new government pledged to keep the general government deficit below 3% of GDP. It can meet this target for European Commission reporting by invoking the escape clause for defence spending, which lowers the reported deficit to 2.8% of GDP. Looking ahead, the draft budget projects fiscal consolidation from 2028, with the deficit narrowing by 0.5ppt each year.

Public finance forecast



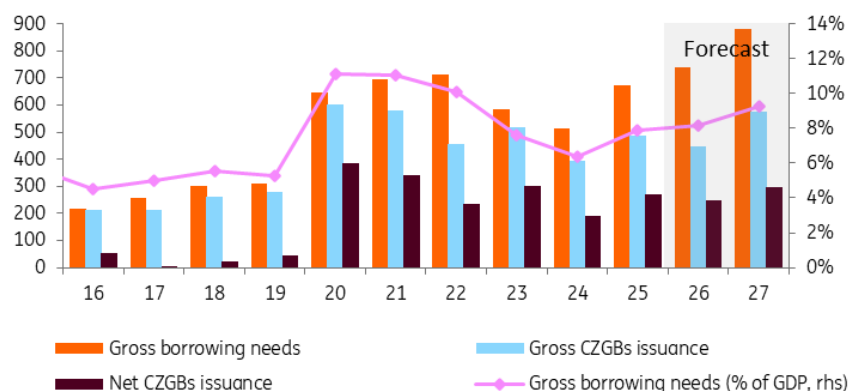
Source: MinFin, ING estimates

Record borrowing needs put CZGBs under pressure and will trigger more switches

The larger-than-expected deficit will coincide with record Czech government bonds (CZGBs) redemptions of CZK278bn. By our calculations, this lifts gross borrowing needs from CZK738.2bn this year to CZK881.9bn in 2027, up 19% year-on-year to an all-time high, although they remain well below Covid-era levels as a share of GDP. On the positive side, the Ministry of Finance has gained a new funding source through retail bonds and is likely to rely on it more as borrowing needs rise.

Strong demand in the first retail bond auction this year means this year's financing already appears largely covered, giving MinFin scope to begin prefunding when global conditions allow. We expect more switches of 2027 maturities during the rest of the year to reduce record redemptions. Assuming no switches or budget changes, gross CZGB issuance would rise 28% year-on-year and net issuance 19%. Prefunding should ultimately reduce these increases, but the draft budget is clearly negative for the CZGB market.

Gross financing needs and CZGBs issuance (CZKbn)



Source: MinFin, ING estimates

Expansionary budget adds to CNB hawkish risks

The draft budget challenges the Czech National Bank's August forecast and adds to hawkish risks. The central bank expects the public finance deficit to reach 2.9% of GDP next year, 0.6ppt below the draft budget estimate.

The proposal also includes a 5-9% rise in public sector wages, while the government last week approved minimum wage increases of 11.2% in 2027 and 8% in 2028. This puts the CNB's 5.7% wage-growth forecast at risk. The board identified wage growth as an upside inflation risk in August, while policymakers frequently cite expansionary fiscal policy as another concern. Our baseline remains for unchanged CNB rates in the near term, but the draft budget raises the likelihood of a hike in November or later.

Author

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

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ECB preview: How to hike rates without creating more market turmoil

We expect the ECB to hike interest rates by 25bp next week. As long as inflation remains mainly energy-driven, hiking rates further beyond next week would not make a lot of sense and could harm the eurozone economy



The European Central Bank looks set to hike rates by 25bp next Thursday

The stage looks increasingly set for another rate hike at next week's European Central Bank meeting. Not only because some ECB members already advocated for a rate hike at the July meeting, but also because, since then, the eurozone economy has shown an almost unexpected resilience to the war in the Middle East. This is partly due to good luck and to Asian competitors being hit harder by the closure of the Strait of Hormuz and losing orders to European competitors, but also to long-announced fiscal stimulus.

At the same time, headline inflation has continued to edge higher and looks set to stay above 3% year-on-year for the remainder of the year, even if other inflation measures like core and services currently provide no reason to panic. With oil prices remaining elevated and the risk of a fresh gas price shock increasing, it will be hard for most ECB policymakers not to see a clear case for another rate hike.

Even if the ECB doesn't like the term, the second rate hike this year would also fall into the

category of 'insurance rate hike', or maybe more to the central bank's liking: a rate hike to strengthen its credibility and to preempt any possible indirect or even second-round effects from the current energy price shock.

No clear signals from the new staff projections

The new round of staff projections will not bring any significant changes but should remain supportive for the rate hike proponents. Given that the cut-off date for the staff projections is normally some two weeks before the Governing Council meeting, the latest surge in bond yields as well as higher energy prices again will not have played a role in the forecasts. In fact, until a week ago, the so-called external assumptions were almost at similar levels as in the June forecasts.

Against this background, we expect the ECB's growth and inflation forecasts to be revised upwards slightly, mainly due to earlier statistical upward revisions of first-quarter growth and slightly higher oil prices. Base and carry-over effects could lead to marginally higher growth and inflation forecasts for 2027. More generally speaking, it will be interesting to see whether the ECB will also present updates of the alternative scenarios from June. While in July it almost looked as if the ECB's 'milder' scenario could materialise, we are now rather somewhere between the 'base' and 'adverse' scenario.

Looking beyond next week

Whether the ECB will really go beyond a September rate hike is a completely different story. Markets have started to price in at least another hike before year-end, and views at the ECB seem to increasingly diverge. While an ECB blog article this year supported our own view that the current inflation wave is mainly driven by energy prices and that drivers matter when identifying (and reacting to) an inflation shock, comments by Isabel Schnabel and Irish central bank governor Gabriel Makhlouf hint at a clear willingness to hike further.

However, with one additional rate hike (next week), the deposit rate at 2.5% would still be within the range the ECB itself calls neutral. Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. We still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. Or in other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock.

ECB's reaction to the recent surge in bond yields

Another topic for next week's ECB meeting and the following press conference will be the latest surge in bond yields – and, related to this, concerns about debt sustainability in Europe (and

elsewhere). At first glance, this surge is actually coming in handy for the ECB. Bond markets are doing the ECB's job, i.e., tightening financing conditions. According to macro models, a 50bp increase in bond yields has a slightly larger impact on inflation and GDP growth than a 50bp increase in the ECB's policy rate.

Consequently, the main challenge for the central bank will be not to add too much fuel to the fire. Remember the unwarranted tightening of financing conditions. In fact, as long as inflation is not under control, it is not so much the absolute level of long-term interest rates but rather the spread between eurozone countries that is of most concern for the ECB. Some tightening of financing conditions can ease the ECB's job; too much tightening, and unequal tightening, would bring new problems.

This is why questions may eventually arise as to whether the ECB would be willing to restart asset purchases, now under the label of the Transmission Protection Instrument. Let's be clear, this is not a debate for now. But if debt sustainability concerns grow, possibly ahead of next year's French presidential elections, markets might want to test the ECB. We have seen it before. In this context, a debate that has so far been confined largely to the yellow press might become more policy-relevant: the possibility of an early exit for Christine Lagarde as ECB president and the question of who would be her successor. Some of the names of possible candidates currently circulating have, at least in the past, not been strong supporters of quantitative easing.

All in all, we expect the ECB to hike interest rates by 25bp next week. Another insurance rate hike. Or for those who don't like this term: a dovish rate hike.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

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FX

FX Daily: Risks skewed to a stronger dollar

The dollar has taken note of Kevin Warsh's hawkish speech last Friday and looks to be holding onto gains. The renewed spike in energy prices only adds to the hawkish trend priced across money markets and again appears to be dollar-supportive. Elsewhere, after a dovish hike from the Reserve Bank of New Zealand earlier, we can see a dovish hold in Canada



The dollar is holding onto gains following Kevin Warsh's dovish speech last week

↑ USD: Fed story will dominate

There remains much focus on the long end of bond markets, where little appetite for fiscal consolidation in recent years seems to be coming home to roost. As Francesco Pesole [highlighted yesterday](#), there remain fears that Treasury Secretary Scott Bessent will dip into his large toolkit again to support the bond market and traders will look to hit a bid in USD/CHF to express the dollar debasement trade.

That is the risk. But the new baseline seems to be that the Fed will, after all, hike rates in September. Fed Chair Kevin Warsh has made it reasonably clear that inflation is not falling quickly enough to target and, given a reasonably strong economy, the Fed will need to act.

Feeding into that story over the next 24 hours will be tonight's release of the Fed's Beige Book and then a moderated discussion tomorrow with the Fed's Christopher Waller. We expect him to emphasise that the Fed looks likely to hike, barring some surprisingly dovish data ahead of the FOMC on 16 September.

We think the cyclical Fed story can trump the dollar bearish debasement theme and some bearish US yield curve flattening can see the dollar advance against the low-yielders – and especially against the Swiss franc, given that Swiss policy rates look most anchored near zero. If we are wrong and are underestimating the pressure on the long end to sell off, then the yield curve steepening from the long end can probably drag the dollar a little lower even as high-yield FX underperforms amidst higher generalised volatility.

US data today sees the monthly ADP employment print and Durable Goods Orders. Based on Warsh's speech on Friday, it seems even weak labour market data may not be enough to stop the Fed from hiking.

We favour DXY grinding higher to the 100.10/20 area and probably moving a little higher tomorrow on the Waller event.

Chris Turner

↓ **EUR: Headwinds grow**

Higher energy prices and, in particular, a more hawkish Fed have seen EUR/USD swing lower in recent ranges. Below 1.1565/70, EUR/USD can extend its drop to the 1.1520 area and we think something like 1.15 looks an appropriate target for month-end. Higher energy prices continue to drag ECB tightening expectations higher, with currently another 80bp of tightening priced by next summer. Our team feels that is highly unlikely. Yet, the market will be reluctant to take the other side of that trade until there is more clarity on events in the Middle East.

Elsewhere, EUR/CHF is trading above 0.94 as higher oil prices drive euro interest rates higher against more anchored Swiss rates. More hawkish commentary from Warsh also returns us to June-style trading conditions of more credible Fed policy weighing on the Swiss franc, gold and bitcoin. Barring new drama at the long end of bond markets, expect USD/CHF to challenge July highs near 0.82.

Chris Turner

↓ **JPY: BoJ hawks remain in the minority**

USD/JPY is a little lower in early Europe as one of the Bank of Japan hawks, Hajime Takata, has implied that the BoJ could possibly hike 50bp in September or deliver back-to-back hikes, meaning a further hike in October. Takata has been in the minority as one of the three hawks on the BoJ policy board and his comments should not be particularly surprising. He is a fan of

getting the policy rate to neutral at 2.00% quite quickly.

However, a BoJ hike in September would already represent a quickening in the pace of hikes after the tightening in June. And we suspect that after a September hike, the BoJ will prefer to wait until early next year before tightening again to see how weak domestic consumption has performed.

For USD/JPY, the hawkish Fed is a game-changer and suggests USD/JPY can spend much more time in this 160/162 area. Scott Bessent will not be particularly happy with the hawkish Fed working against the yen buying operation, but he will no doubt appreciate the benefits of Fed independence here.

Chris Turner

➔ **CAD: BoC on hold amid tariff mayhem**

The Bank of Canada is widely expected to keep rates on hold at 2.25% today. We see a very low risk of a surprise hike. While headline CPI rose back to 3.0% in July, core inflation remains very well anchored around 1.9%-2.0%. A few strong jobs market reads and a respectable 3.3% annualised growth in 2Q have been clouded by the latest escalation in the US-Canada trade and diplomatic spat. The Bank of Canada has mostly looked at tariffs as a dampening factor for activity and jobs, and despite retaliatory tariffs from Canada, which can raise prices, the low starting point for core argues against jumping into a hawkish shift just yet.

We suspect Governor Tiff Macklem will stress that monetary policy isn't a corrective tool for trade policies, and keep the door open to some tightening if necessary. But markets are pricing in 27bp of tightening by the January meeting, and may not find too many reasons to revise those expectations after today's meeting (especially since they are primarily borrowed from the USD curve).

As discussed in [this note](#), we remain concerned about the near-term impact on CAD from the trade chaos in North America. The implications for the Canadian economy can be deep even if tariffs are eventually negotiated away, given the impact of trade uncertainty on business spending and hiring plans and well as consumers. Paired with our bullish call on USD, we see USD/CAD upside risks extending to 1.400 this month.

Francesco Pesole

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

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Article | 2 September 2026

COMMODITIES DAILY

The Commodities Feed: Middle East escalation pushes energy prices higher

Crude oil prices and diesel cracks strengthened as Middle East tensions escalated further, while European gas climbed to the highest since 2023 amid fading expectations for a recovery in Persian Gulf LNG exports



Energy – ICE gasoil crack hits new record highs

Brent pushed back above \$95/bbl, reaching its highest level in more than a month, as Persian Gulf tensions escalated further. After weekend strikes, Iran hit two oil tankers in the region yesterday. The US, meanwhile, carried out additional overnight strikes on Iranian targets, adding fresh geopolitical risk premium to the market.

Developments in recent days brought risks to regional oil supplies back into focus. We've seen oil flow through the Strait of Hormuz despite the stalemate between the US and Iran, but rising tensions clearly put crossings at risk. The US energy secretary said 17m barrels of oil flowed through the strait on Monday, the highest volume since the conflict began. When you factor in bypass volumes, it suggests Persian Gulf oil flows are above pre-war levels. But these numbers are uncertain. Ship trackers have been estimating much more modest flows. It makes more sense to look at average flows over longer periods, rather than a single day, given flows move lots day to day.

Escalation in the Middle East also dashes any hope for a recovery in refined product flows, leaving markets tight. This is mostly reflected in the diesel market, where the ICE gasoil crack traded to record highs yesterday of around \$79/bbl, while the diesel crack in the US is trading well above \$100/bbl. Timespreads reflect this acute tightness, with the ICE gasoil Sep/Nov

spread trading at a backwardation of \$80/t. Given disruptions to Middle East and Russian diesel exports, and with little sign of an imminent recovery, middle distillate cracks are likely to remain highly elevated and volatile, particularly as we move towards seasonally stronger demand. The global refining system has little slack to make up for the disruptions we are currently seeing.

The latest API numbers show US crude oil inventories fell by 2.6m barrels over the last week. The picture was more mixed for refined products, with gasoline inventories up 300k barrels while distillate stocks fell by 300k barrels. The move in distillate stocks will do little to help ease tightness concerns. The more widely followed EIA inventory report will be released today.

TTF gas prices traded to their highest level since 2023, with front-month futures breaking above EUR75/MWh in early morning trading today. Escalation in the Persian Gulf pushes back hopes of any recovery in LNG exports from the region. This remains a concern for Europe, given lower-than-usual storage levels. LNG netbacks favour sending spot LNG to Europe over Asia. But as we move closer to the Northern Hemisphere winter, competition between the two regions is likely to pick up, particularly if Qatari LNG remains largely absent from the market through year-end.

Metals – Gold slips as oil surge revives rate concerns

Gold prices eased to a two-week low, slipping below \$4,300/oz, as escalating tensions in the Middle East push oil prices higher. This prompted markets to reassess the outlook for US interest rates. Rising energy costs could add to inflationary pressures and reduce the scope for near-term Federal Reserve easing, weighing on non-yielding assets such as gold.

The decline follows a strong August rally, with gold gaining nearly 10% and recording its biggest monthly increase since January. Safe-haven demand and growing concerns over US fiscal sustainability have continued to underpin investor interest in gold and other hard assets.

While near-term profit-taking could continue after gold's recent run-up, broader fundamentals remain supportive. Expectations of lower rates over the medium term, central bank purchases and elevated geopolitical uncertainty should provide a floor for prices. Any pullbacks are likely to attract fresh buying interest.

Agriculture – Soybean hit multi-year high on Biofuel policy support and weather risks

CBOT soybean futures climbed to their highest level since December 2023, supported by a stronger-than-expected US renewable fuel exemption decision that improved the biofuel demand outlook. As a key biodiesel feedstock, soybean prices remain highly sensitive to renewable fuel policy developments. The EPA granted 1.76 billion compliance credits for 2025, the largest small-refinery exemption package since 2017 and well above the previously

projected 990 million. The agency also committed to fully reallocating exempted volumes from 2025 into 2026 and 2027 blending mandates, effectively preserving biofuel demand. Meanwhile, hot and dry weather across the US Midwest is expected to constrain late-season pod development. This raises concerns about soybean yields. The supportive policy backdrop coincides with increased Chinese soybean purchases, reinforcing expectations that Beijing is advancing its trade commitments with Washington.

Author

Warren Patterson

Head of Commodities Strategy
Warren.Patterson@asia.ing.com

Ewa Manthey

Commodities Strategist
ewa.manthey@ing.com

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Article | 1 September 2026

RATES SPARK

Rates Spark: Different parts of the curve, different dynamics

In the eurozone, long-end rates have felt the spillover from the US, which has helped push 10y EUR swap rates to close to 3.4%, their highest since autumn 2023



With oil prices drifting higher, long-end yields continue to remain elevated

The hawks now have the upper hand for September's Fed meeting

After the hawkish tone out of Jackson Hole, the market is still increasingly leaning towards a rate hike in September as the burden of proof has switched to the doves. While the focus is now on the upcoming jobs report and then CPI release, the bar for the data to move the needle has been raised.

Still, as bond yields have reached lofty heights, we are starting to see more sensitivity to the data. But less as to what it means for the near-term tightening, but with its longer-run implications. The softer ISM and JOLTS reports of Tuesday have left front-end yields still higher on the day, whereas 30y US Treasury bonds managed to edge back from the peak, thus flattening the curve.

We think it is only part of the story though, as long-end bonds are also driven by a mix of deficit and supply concerns and tech-related growth expectations. They are also more persistent and maintain an underlying upward pressure on long-end yields.

As far as equity valuations are concerned, geopolitical headlines and the feedback from the higher rates seems to have finally found its way back into softer stock markets. But nothing really to change the narrative just yet.

The euro short end is set on 2-3 ECB hikes, but the long-end is less anchored

In the eurozone, long-end rates have felt the spillover from the US, which has helped push 10y EUR swap rates to close to 3.4%, their highest since autumn 2023.

But there also remains a closer link to geopolitics and price dynamics, with the latest headlines pushing oil prices above US\$90/bbl again and gas prices close to the March price peaks of the Iran war. While there was an encouraging drop in the core inflation rate on Tuesday, signalling that second-round effects remain contained, this does not take away the pressure looking ahead.

There indeed are more calls out of the European Central Bank that a September hike might not be sufficient. To be fair, the market is already discounting 50bp of tightening by February next year. Such comments merely confirm the hawkish pricing rather than pushing it further comment.

That leaves front-end pricing of the EUR curve more anchored, but gives the long end the leeway to move more with the US for now, seeing some reprieve and getting pulled back from the peaks. That reprieve could still prove to be temporary.

Wednesday's events and market view

There are no data releases of note out of the eurozone. The ECB's Wunsch, usually with a hawkish lean, is scheduled to speak. It is the last day ahead of the ECB's pre-meeting quiet period.

In the US, the ADP employment change data tends to offer little guidance for the jobs report later on Friday. Other releases are factory orders and the final durable goods orders data for July.

Author

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

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Article | 1 September 2026

FX

FX Daily: Dollar struggling to shake off debasement trade

The dollar has failed to hold on to post-Jackson Hole gains. We suspect underperformance in long-dated US rates is keeping markets on high alert for more Treasury interventionism, feeding the debasement trade. But ultimately, we expect markets to cement hawkish Fed expectations this week, which should emerge as the key driver and offer USD good support



Federal Reserve Chair Kevin Warsh

↑ **USD: Warsh support already vanishing**

The dollar has given back roughly half of the gains sparked [by Federal Reserve Chair Kevin Warsh's hawkish speech](#) on Friday. Importantly, this does not reflect any fading conviction on Fed tightening. The 2-year SOFR rate has held above 4.20%, more than 10bp higher than before the speech. Markets are pricing in 16bp for September and 37bp for year-end.

Despite support from the front end, every G10 currency gained against the dollar on Monday. We suspect the rise in US back-end yields is the main culprit, even though that move was driven by higher oil prices as the US and Iran exchanged strikes.

That is somewhat concerning for dollar bulls. It suggests markets still view higher long-end yields through the lens of potential Treasury interventionism, feeding the debasement trade, which a hawkish repricing of Fed expectations has still not been able to fully unwind. That speaks to the lasting FX impact of Treasury Secretary Scott Bessent's buyback move.

Still, we'd be very cautious about chasing a dollar correction further this week. In our view, markets would need a string of materially disappointing data releases over the coming days to meaningfully reassess September FOMC expectations after Warsh's hawkish message last week. We do not think that is likely.

Our baseline is for ISM manufacturing to remain above 55.0 today (JOLTS is the other main release this afternoon), ADP payrolls to print at 40k tomorrow, ISM services to stabilise on Thursday, and most importantly, payrolls to come in at a robust 65k on Friday.

For now, we are not prepared to argue that the relationship between the dollar and the front-end has been structurally impaired. As conviction around a 16 September hike is cemented, the dollar should find decent support at the start of the month. September is also a seasonally strong month for DXY. Barring a fresh surprise announcement on Treasury market intervention, the index can reclaim the 100.0 level.

Francesco Pesole

↓ EUR: Downside risks prevail

German inflation [inched higher](#) to 2.9% in August, slightly below the 3.0% consensus. Today's eurozone-wide figures are expected to rise to 3.3% in the headline print, but the core rate is still seen unchanged at 2.5%.

Despite little evidence of ongoing second round effects, the European Central Bank is almost guaranteed to hike rates again next week. In our interpretation, this still falls into the "insurance" hike classification, but further tightening from there – which is widely priced in by markets – would instead imply that the ECB sees restrictive policy as necessary, a much bolder move unless data shows a core inflation uptrend.

The market's high conviction about a September ECB hike means EUR/USD is even more a dollar story now. We aren't optimistic 1.1600 can hold much longer as markets grow confidence of a Fed hike already in September, and instead see risks skewed to a retest of 1.150 in the first half of September.

The ongoing re-escalation in the Middle East and Russia-related headlines are not helping the bullish euro case at the moment. European natural gas prices are at the March peaks, keeping the euro's terms of trade under pressure. The positive impact on the euro of recent upward surprises in eurozone growth may run out of steam rapidly against such a commodity backdrop.

Francesco Pesole

↓ NZD: Dovish surprise risk as RBNZ hikes

We expect the Reserve Bank of New Zealand to hike rates by 25bp to 2.75% tomorrow morning (announcement 0300 BST). Consensus is unanimous and markets are fully pricing in the move, so the impact on the New Zealand dollar will be highly dependent on whether the statement will still include firmly hawkish guidance, and on updated rate/economic projections.

As discussed in our [preview](#), we see some downside risks for NZD. Market pricing (95bp by June 2027) looks way too hawkish. To validate such expectations, the Reserve Bank would need to revise rate projections materially higher, as they currently embed only another 25bp hike for the next three quarters. We don't think they will, as we instead expect CPI projections to be revised lower on the back of softer oil prices.

We see NZD/USD trading back below 0.590 in the near term as the RBNZ may fail to meet hawkish expectations and USD finds some support.

Francesco Pesole

↑ CEE: Inflation signals and hawkish repricing in focus

Polish inflation surprised [to the upside in August](#), rising from 3.0% to 3.4%, mainly due to higher fuel prices, as the statistics office likely did not account for the government's VAT reduction in the latter part of the month. By contrast, food prices fell further, offering a dovish signal for inflation elsewhere in the region. CEE PMIs are due today. On Thursday, the Czech Republic will release second-quarter wage data, where we expect growth to slow from the unexpectedly strong 8.1% recorded in the first quarter. Turkey's August inflation is also due; we forecast only a modest decline from 1.8% to 1.6% month on month. On Friday, Czech inflation should rise from 1.7% to 1.9%, in line with the central bank's forecast, while the Czech Republic and Hungary will publish retail sales data.

Regional markets are firmly back in hawkish mode following the Fed chair's comments and renewed escalation in the US-Iran conflict. With UK markets closed yesterday and CEE trading subdued, some catch-up is likely today. The Czech market is still pricing in almost four rate hikes and the Polish market nearly three, which should limit further weakening and could support gains today given further widening of rate differentials versus euro.

Frantisek Taborsky

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

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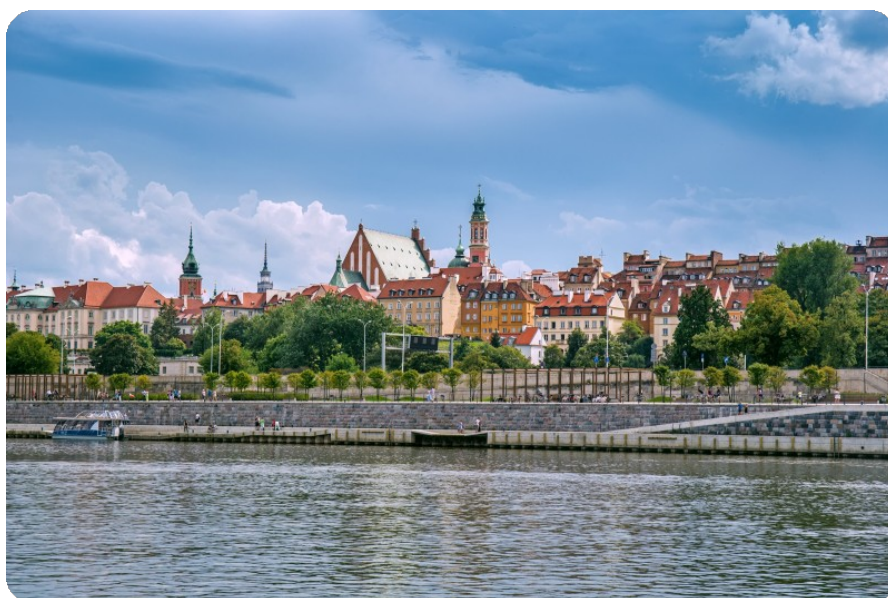
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Article | 1 September 2026

POLAND

We take a look at the market implications of Poland's 2027 budget

The planned financing of the state budget's borrowing needs in 2027 appears encouraging when looking at the headline figures. However, taking several risk factors into account could imply higher issuance of government bonds. At the same time, the Ministry of Finance retains considerable flexibility in its choice of funding sources



Warsaw, Poland

Pessimistic scenarios did not materialise

The 2027 Polish budget presented last week was met with a relatively muted market reaction, perhaps because the more pessimistic scenarios anticipated by some market participants, based on experience from previous election cycles, failed to materialise. At the same time, Poland remains the EU country with the highest general government deficit, and the plans for 2027 do little to alter that picture. We discussed these issues in our commentary published immediately after the Finance Minister's press conference ([Poland's draft 2027 budget: Not great, not terrible | articles | ING THINK](#)).

Polish 10-year government bond yields nevertheless rose above 6%. However, this can largely be attributed to the timing of the budget announcement, which coincided with a significant

increase in sovereign bond yields across core markets.

Excessive deficit to continue for a sixth consecutive year

One of the negative surprises in the Ministry of Finance's proposal is that fiscal consolidation has been postponed by another year. According to the updated figures, the 2026 deficit is now expected to reach 7.1% of GDP, compared with the previously projected 6.5% of GDP, while the deficit-to-GDP ratio is expected to remain unchanged in 2027. This is undoubtedly an unfavourable development and, if it persists, could eventually trigger a response from credit rating agencies.

Borrowing requirements and their financing

Information regarding the financing of borrowing needs represents a somewhat brighter spot for the outlook of the domestic bond market. On the one hand, the Ministry of Finance assumes that both gross and net borrowing needs will be broadly similar to this year's expected outturn and significantly lower than originally planned for 2026. Gross borrowing needs are projected at PLN565bn, compared with an expected outturn of below PLN 600bn this year, while net borrowing requirements are forecast at PLN317bn versus just under PLN321bn this year (see table).

An equally important consideration is the planned funding structure. In 2027, domestic financing through Treasury securities (POLGBs) is expected to be significantly lower than in 2026, by approximately PLN43bn. Under more favourable conditions in global bond markets than those prevailing today, this could provide some relief for the market.

Risk factors that could increase issuance and push POLGB yields higher

A closer examination of the projected net borrowing requirements and their financing reveals several risk factors for Polish government bonds (POLGBs).

PLN billion	1 2026 Budget	2 2026 Plan	3 2027 Draft	Difference	
				2-1	3-2
Net borrowing needs	422.9	320.6	317.1	-102.2	-3.6
Budget deficit	271.7	271.7	282.6	0.0	10.9
EU budget deficit	36.2	1.9	19.3	-34.3	17.4
Credits and loans	112.8	95.7	7.3	-17.1	-88.4
Pre-financing of EU-funded projects	0.2	0.2	0.2	0.0	0.0
Payments to international institutions	0.4	0.4	0.2	0.0	-0.2
Public sector liquidity management	-10.6	-45.0	23.7	-34.4	68.7
Management of EU funds	12.2	-3.4	6.6	-15.6	10.1
Others	0.0	-0.8	-22.9	-0.8	-22.1
Financing of net borrowing needs	422.9	320.6	317.1	-102.2	-3.6
1. Domestic financing	241.6	313.8	198.5	72.2	-115.3
1.1 Treasury Securities	241.6	245.5	198.5	3.8	-47.0
1.1.1 T-bills	28.2	-11.9	0.0	-40.1	11.9
1.1.2 Fixed	150.2	181.7	164.1	31.5	-17.6
1.1.3 Floaters	36.6	56.3	29.4	19.7	-26.9
1.1.4 Indexed	8.5	3.4	4.9	-5.1	1.5
1.1.5 Retail	18.2	16.1	0.1	-2.1	-16.0
1.2 Budgetary accounts	0.0	68.3	0.0	68.3	-68.3
2. Foreign financing	181.2	6.9	118.6	-174.4	111.7
2.1 T-bonds	27.9	32.3	31.9	4.4	-0.5
2.2 Credit received	-1.6	-2.1	-1.4	-0.5	0.6
2.3 Loans from EU	45.3	45.8	0.0	0.5	-45.8
2.4 Flows on FX account	109.6	-69.2	88.1	-178.9	157.3

Source: Government sources

Historical discrepancies between financing plans and actual outcomes: the Ministry of Finance issues more debt in favourable conditions

Past experience suggests that budget plans rarely survive intact when confronted with reality. In 2026, substantial differences have emerged between the Budget Act and the expected performance, which warrants caution when assessing financing projections.

Particularly striking is the reduction in total net borrowing requirements by PLN102bn despite an increase in the general government deficit, as illustrated in the table above. The reasons are lower budget burdens associated with the slower progress in EU-cofounded projects.

Also, the discrepancy between the budgeted and projected funding plan may be explained by the foreign-currency account in 2026, which amounts to nearly PLN180bn.

At the same time, almost all Treasury bond issuance in PLN exceeded the original plan by almost PLN44bn, although this was partly offset by a PLN40bn reduction in Treasury bill issuance. So, in favourable market conditions, the Ministry of Finance issued more Treasury securities and reduced outstanding T-Bills to create a safer debt structure.

Planned use of the liquidity buffer

The 2027 budget proposal assumes the use of PLN68.3bn from funds held in budgetary accounts at the end of 2026. However, a reduction in the liquidity buffer had already been envisaged in previous years and ultimately did not materialise. This is one of the mechanisms that allows the Ministry of Finance to present lower projected bond supply in its initial plans and subsequently, should market conditions prove favourable, increase issuance and rebuild its liquidity buffer.

The refinancing of quasi-sovereign issuance guaranteed by the State Treasury should be added to government bond supply

A separate issue, important when assessing the actual supply of debt instruments, concerns off-budget issuance, particularly that undertaken by Bank Gospodarstwa Krajowego (BGK) and the Polish Development Fund (PFR). According to the financing plan of the COVID-19 Fund (FPC) attached to the budget proposal, PLN22.6bn will be required to roll over maturing FPC bonds. In the case of PFR bonds, the redemption requirement amounts to approximately PLN18.8bn. Taken together, this implies refinancing needs of more than PLN41bn. This means that, under conditions comparable to previous years, the effective supply of POLGBs, once quasi-sovereign issuance by BGK/FPC and PFR is added, is PLN41bn higher than suggested by the official financing plan. This could translate into additional upward pressure on government bond yields.

Conclusions

The Ministry of Finance continues to retain considerable flexibility in its choice of instruments used to finance the deficit. It still makes relatively limited use of foreign-currency bond issuance and, in 2026, successfully reduced its reliance on Treasury bills. In addition, it maintains sizeable and regularly replenished safety buffers in the form of a substantial liquidity reserve. In practice, higher debt supply, including greater issuance of fixed-rate bonds relative to the optimistic assumptions set out in the financing plan, is likely only under favourable market conditions. Should market conditions deteriorate, the Ministry of Finance is likely to rely once again on alternative sources of funding.

Author

Rafal Benecki

Chief Economist, Poland
rafal.benecki@ing.pl

Leszek Kasek

Senior Economist, Poland
leszek.kasek@ing.pl

Mateusz Sutowicz

Senior Economist, Poland
mateusz.sutowicz@ing.pl

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Article | 1 September 2026

CZECH REPUBLIC

Czech PMI reveals renewed employment gains

The PMI rose to 54.1 in August, fostered by all crucial ingredients, such as output, new orders, employment, and sentiment. Renewed hiring, especially, suggests solid ground under the expansionary milieu, along with good news for profit margins. Plans for ample government spending over the next year could herald an infamous end to fiscal soundness

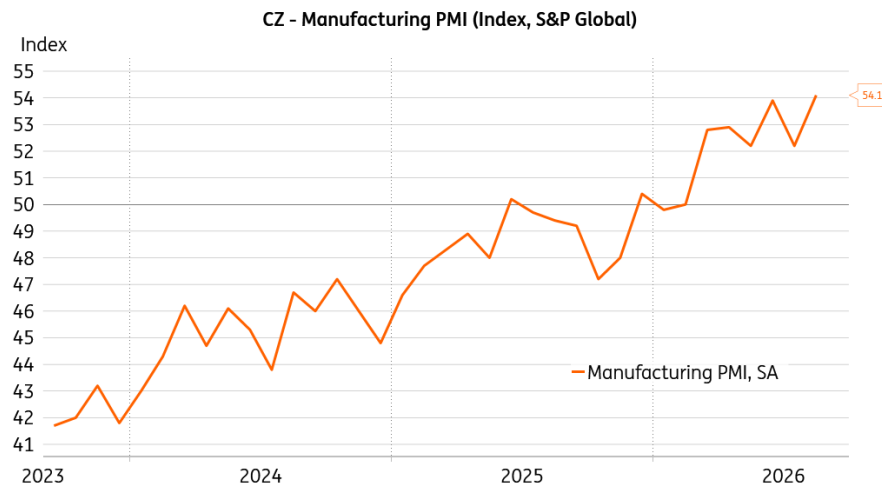


Czech PMI rose to 54.1 in August on positive output, new orders, employment and sentiment. Pictured: Skoda auto plant in Mlada Boleslav, Czech Republic

In expansionary territory for all the good reasons

Czech manufacturing firms saw robust expansion during August, thanks to sharper increases in output, new orders, and renewed employment growth. Demand improved particularly among international customers. Increased pressure on production capacity prompted companies to hire in August to meet production demands. That said, the number of workers has increased for only the second time this year, yet we read it as a sign of a robust rebound. Czech manufacturers were more optimistic in August about the outlook, fostered by hopes for further strengthening demand and bold investment plans.

Rebound in manufacturing much needed



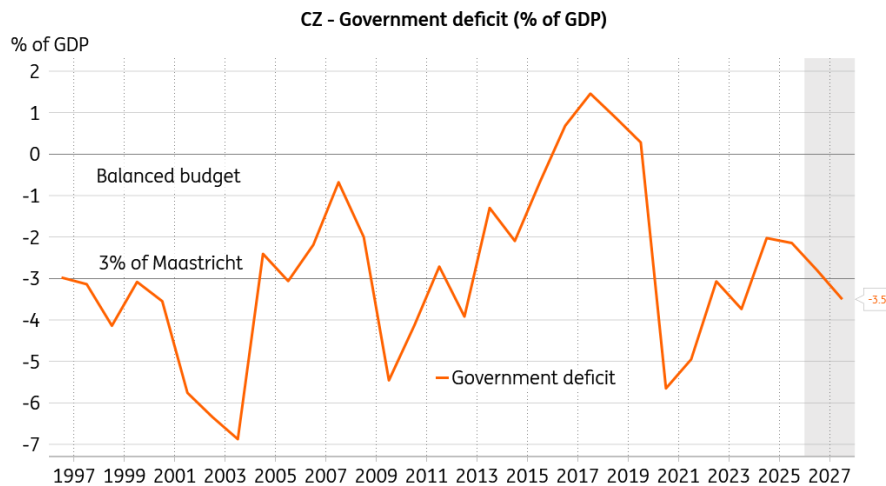
Production performance was somewhat pressured by a lagging supplier performance, while companies began to build up safety stocks once again to shield themselves against potential issues with key materials' availability. Inflationary pressures have somewhat eased from recent highs, but the pace in both input and output prices has remained relatively upbeat. The input cost pass-through was enabled by the continuous improvement in demand, with new orders rising for the sixth consecutive month. Such a development brings remedy for firms' profit margins after the previous squeeze linked to galloping input costs and increased uncertainty in conditions of the protracted Strait of Hormuz conflict.

Requiescat in pace fiscal soundness

The Czech government has announced plans for the 2027 deficit of CZK389bn. Such a figure is above our assumption of not crossing a CZK340bn deficit that would enable the deficit-to-GDP ratio to remain just below or at the 3% threshold of the Maastricht criteria even in the next year. Yesterday's new proposal and our nominal GDP outlook imply that the government deficit would reach 3.5% of GDP next year, after adjusting for the estimated surplus of municipalities. The Ministry of Finance still paints a deficit-to-GDP ratio below 3% in 2027, yet this is subject to the potential exclusion of some defence-related expenses.

Meanwhile, the European Council activated the national escape clause for 15 member states, including Czechia, in July 2025 to exclude some defence-related expenditures from the budget. Other countries followed suit. Well, should all that is proposed by the Czech Ministry be exempted, then you end up with this below-3% deficit number, indeed.

Deep deficits is a trend better not to join



Source: CZSO, ING, Macrobond

For Czechia, this unpleasant shift to a higher government deficit will come under some scrutiny, with the Czech electorate being traditionally very much allergic to large fiscal deficits. Petr Macinka, the chairman of the Motoriste coalition party, plans to discuss the too-high deficit with Prime Minister Andrej Babis this Thursday. That said, Motoriste pose themselves as a classical central-right party, with fiscal responsibility representing one of their priorities during the election campaign. This may end up as a political manoeuvre in which the 3% deficit looks wonderful in the end. There is still hope that things may change towards a less burdensome public finances outlook. We are as tense as you, so stay tuned.

Author

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

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